

and scream, “If I had 20% to put down, I would! I don’t want to pay this stupid PMI! This is all we can afford, you idiots!”

PMI is just another scam to get money out of you. It is money out the window for you, and another luxury vacation for them. And there is nothing you can do about it.

Or is there?

Avoid It Like the Plague

If at all possible, do not pay PMI. When you are shopping for a house, try to find one in a price range where you will be able to put down at least 20%! The more you have for a down payment, the better interest rate you get, the lower principal balance you have, the lower your payment will be, and the less you pay over the life of the loan.

And who wants to pay this extra thing they dreamed up called PMI?

Are you
paying
PMI?

If, for whatever reason, you cannot come up with 20% down, or you have already bought a house and are currently paying PMI, listen up. Do whatever you can to raise the money to bring up your equity to 20%. Borrow from your parents, borrow from your kids, have a bake sale in the driveway. Get the money.

In the event you can’t come up with the full 20%, don’t get depressed. Eventually, your regular monthly payments will bring up your equity to 20%. When that happens, call your lending bank or mortgage company to have PMI removed. You have to monitor it and notify them when you have reached 20%. If you do not, they can keep taking it every month for the whole 30 years.

Another option to rid yourself of PMI is to get your home reappraised if the value increases or you paid a price that was under market value. The increase in the true value of your home over what you paid for it is known as appreciation. Appreciation reflects when an asset you own, your home, in this case, rises in value. This is money you didn’t need to work for and you can put it to good use. Simply call